



Trent Q2FY22 Standalone results were better than expectations.

- **Recovery @ 24.7%** over Q2FY20
- Gross margins improve by 1120bps YoY
- Excluding IND-AS Impact PBIT (before other income) Rs 1370mn v/s loss of Rs 590mn YoY. PBIT margins were at 13% for Q2FY22.

Financials

- **Revenue:** grew by 125.7% YoY to Rs 10204.17mn (QoQ +211.8%) over Q2FY20 +24.7%
- **EBIDTA** at Rs 2212.69mn v/s Rs 63.85mn YoY (Q1 was loss) over Q2FY20 +60%
- **EBITA margins** stood at 22% v/s 1% YoY Q2FY20 was 21%
- **PAT (adjusted)** Rs 1355.9mn v/s YoY loss of Rs 480.93mn and QoQ loss of Rs 837.5mn over Q2FY20 208% growth mainly due to rental waivers (*Rent Waiver in other income for Q2FY22 stood at Rs 118.2mn v/s 186.5mn YoY and for H1FY22 stood at 468.2mn v/s Rs 614 mn*)

Outlook

- **Trent's longer-term focus** is to be a "Portfolio of Brands" which are originated and scalable, like Westside and Zudio that are now both profitable and sustainable business models.
- Aim is to grow at CAGR of 25%+ and maintain 10% EBIT margins (pre-Ind-As)
- Demand scenario remains robust.
- **Star-Bazaar:** management commented that it is looking to pursue a significantly accelerated expansion program under the star-market store. Investments in Subsidiaries / JV's and Associates as per standalone cash flow stood at Rs 1720mn.

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	1,093	7

Market data

Current price	Rs	1,024
Market Cap (Rs.Bn)	(Rs Bn)	364
Market Cap (US\$ Mn)	(US\$ Mn)	4,844
Face Value	Rs	1
52 Weeks High/Low	Rs	1,210 / 585
Average Daily Volume	('000)	1,098
BSE Code		500251
Bloomberg		TRENT.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Sep-21	Jun-21
Promoters	37.01	37.01
Public	62.99	62.99
Total	100	100

Source: Bloomberg

Financial Summary Standalone

Y/E Mar (Rs mn)	FY19	FY20	FY21	FY22e	FY23e
Netsales	25,317	31,777	20,475	34,110	53,235
% Growth	23	25.5	(35.6)	66.6	56.1
EBIDTA	2,365	5,632	2,926	6,558	11,587
Margins	9	18	14	19	22
PAT	1,277.9	1,546.0	(510.2)	1,134.4	4,471.6
growth (%)	9	21.0	(133.0)	(322.3)	294.2
EPS	3.8	4.3	(1.4)	3.2	12.6
P/E (x)	267.1	236.1	(715.5)	321.8	81.6
P/B (x)	20.1	14.6	14.5	14.2	12.3
EV/EBITDA (x)	145.7	65.3	124.5	56.2	31.8
ROCE (%)	9.1	11.9	2.3	11.6	23.4
RoE (%)	7.5	6.2	(2.0)	4.4	15.1

Source: Dalal and Broacha

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Other Details on Standalone Results

- **Raw Material** to Revenue stood 48% v/s 59% YoY and 46% QoQ
- **Employee cost** rose by 33% YoY to Rs 762.31 mn and flat QoQ
- **Other Expenses** as % to Revenue 23% v/s 27% YoY and 40% QoQ
- **Rent Waiver** in other income for Q2FY22 stood at Rs 118.2mn v/s 186.5mn YoY and for H1FY22 stood at 468.2mn v/s Rs 614 mn

Consolidated Results

- **Revenue** grew by 101% YoY to Rs 11780.9mn
- **EBIDTA stood at** Rs 2097.3mn v/s Rs 3.9mn YoY (QoQ loss Rs 431mn)
- **PAT adjusted** stood at Rs 799.9mn v/s loss of Rs 785.7mn YoY and loss of Rs 1382mn QoQ
- **Share of Profits from JV and Associates** +ve 100.1mn v/s loss of Rs 162.24mn YoY and loss of Rs 217.35mn QoQ
- **Pat (owners Share)** Rs 925.7mn v/s loss of Rs 716mn YoY and loss of Rs 1266mn QoQ

Other KTA's

- Westside and Zudio operated for 91% of the trading days, up from 46% in Q1.
- **STORES** Westside @ 191 , Zudio @ 147 (added 7 Westside and 10 Zudio QoQ)
- Online channel witnessed +95% growth (contribute 5% of Westside Revenue) || Westside.com = 20% of online sale || Exclusive style launched for online platform
- As per cash-flow Rs 1720mn was invested towards JV's and Associates majorly Star Bazaar.
- Dividend income of ~Rs 5bn received from JV (mostly Inditex as per cashflow)

Trent Management Interaction post Q2FY22 Results

- **Demand:** Consumer sentiment continues to remain positive across the retail industry. Focus on at-home related products which increased during covid has come to to normlised levels
No dramatic shift in long-term trends on casuals.
- *Supply in-general* (not retail in specific) has become a problem v/s demand in-general which impacts availability, pricing and timeline which has cascading effects.
- **GST hike and gross margin impact:** Prices for consumer will increase, but all brands might not deal with the problem in the same way. Trent has generally been behind the curve in such cases, as do not want to make a mess of end consumer prices and be more observant and make changes gradually.
Gross margins end-of-day is weighted average realization of actual delivered outcome which includes products sold at full price + sold with mark-downs + sale at residual prices.
- **Real Estate:** High Quality spaces there is demand and there is some amount of competition but not un-viable.
- **Rent:** negotiations done after 1st wave were long-term in nature which is still helping for the stores which was closed.
- **Store Openings:** Lot of malls were closed till early part of October and some of the OC's got delayed as various government departments were not fully operational. Hence were lower than the fit-outs available post Q1FY22. No material closure.
- **Inventory:** In terms of week-covered Trent tries to keep it at ~12-17 weeks. As per H1FY22 balance sheet inventory was 1.65x of FY21 i.e. at Rs 6504mn v/s Rs 3946mn FY21.
- **Operational leverage** to some extent is playing out which has led to 13% PBIT margins

Quarterly Financials

Particulars (Rs Mns)	Q2FY21	Q1FY22	Q2FY22	YoY	QoQ
Revenue	4,521.2	3,272.9	10,204.2	125.7	211.8
Raw Material	2,672.9	1,519.7	4,886.7	82.8	221.6
Employee Cost	574.2	762.8	762.3	32.8	-0.1
Rent Exps					
Other Expenses	1,210.2	1,308.3	2,342.5	93.6	79.1
O. Exps not attributable to current Qtr					
EBIDTA	63.9	-317.9	2,212.7	3,365.4	-796.1
				0.0	0.0
Depreciation	578.2	622.2	666.1	15.2	7.1
Interest	582.5	685.8	725.9	24.6	5.9
PBT (before O.Income) and Exceptional	-1,096.9	-1,625.9	820.6	-174.8	-150.5
Other Income	363.8	523.4	948.7	160.8	81.2
Exceptional Items			-130.1		
PBT	-733.1	-1,102.5	1,639.2	-323.6	-248.7
Tax	-252.2	-264.9	383.0	-251.9	-244.6
PAT (reported)	-480.9	-837.6	1,256.2	-361.2	-250.0
Adjusted PAT	-480.9	-837.6	1,355.9	-381.9	-261.9
Equity	355.49	355.49	355.49		
Face Value	1.00	1.00	1.00		
EPS (on adj)	-1.35	-2.36	3.81		
EPS (on reported)	-1.35	-2.36	3.53		
<i>Tax Rate</i>	<i>34%</i>	<i>24%</i>	<i>23%</i>		
Raw Material	59%	46%	48%		
Employee Cost	13%	23%	7%		
Rent Exps	0%	0%	0%		
Other Expenses	27%	40%	23%		
EBIDTA Margins	1%	-10%	22%		

Source: Company

Outlook and valuations

Trent SOTP Method					
Segment	Particulars	FY24	Metric	Multiple (X)	Value/ Per Share Contribution
Weside + Zudio	PAT Standalone (Rs Mns)	5396	P/E	60	323,756
Star Bazaar 50% JV	Sales (Rs Mns)	10760	P/Sales	2	21,520
Zara Trents Share 49%	PAT (Rs Mns)	891	P/E	30	26,732
Booker India 51%	Sales (Rs Mns)	4140	P/Sales	3	12,420
Less: Debt (Rs Mns)					4,971
Add: Cash + Invest (Rs Mns)					9,038
less Inv in Subs					
Total Value in Mns					388,495
NO. of Shares (In Mns)					355
Value Per Share Rs					1,093
CMP					1,027
Upside					6%

Trent's expansion aggression supported by strong balance-sheet with Net Debt-free status and strong brand-presence across verticals aided with TATA-group's strong focus on consumer business are factors that would support its premium valuations.

Westside precovid was growing at 18.5% CAGR with average store additions of 15 per annum, however going forward we are confident that this average store openings will rise to 25+ (FY19 too had net additions of 25 stores) and add to this is the aggressive growth in Zudio with an estimated 40+ stores per annum.

The management has got its model right in-terms of standalone business which has Westside, Zudio and newer additions of standalone stores of Utsa.

We have rolled over our estimates to FY24 and based on our SOTP valuation we arrive at a target price of Rs 1093. We believe that the down-side in the stock is limited as the company has strong suitable business model with very high growth potential. Market volatility should be used to "Buy the stock on Dips" with long-term perspective.

Financial

STANDALONE									
P&L (Rs mn)	FY20	FY21	FY22E	FY23E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22E	FY23E
Net Sales	31,776.7	20,475.3	34,109.6	53,234.9	Net Profit	1,545.9	(510.2)	1,134.4	4,471.6
Cost of sales	(26,144.7)	(17,549.1)	(27,551.2)	(41,648.2)	Add: Dep. & Amort.	2,311.2	2,358.7	3,006.9	3,494.5
Operating Profit	5,632.0	2,926.2	6,558.4	11,586.8	Cash profits (Inc)/Dec in	3,857.1	1,848.5	4,141.3	7,966.1
Depreciation	(2,311.2)	(2,358.7)	(3,006.9)	(3,494.5)	Sundry debtors	8.0	(72.4)	(138.9)	(194.0)
PBIT	3,320.8	567.5	3,551.5	8,092.2	Inventories	(971.2)	1,919.5	(2,994.3)	(3,907.1)
Other income	1,517.6	1,154.3	1,047.3	1,122.8	Loans/advances	(503.2)	(345.2)	(473.7)	(956.7)
Interest	(2,382.9)	(2,379.8)	(2,975.5)	(3,239.3)	Current Liab and Provisions	(268.1)	2,428.8	(1,648.1)	2,131.0
Profit before tax	2,455.5	(658.0)	1,623.3	5,975.7	Change in working capital	(1,734.5)	3,930.7	(5,254.9)	(2,926.8)
Exceptional and Extra Ordinary It	(0.3)	(63.4)	(130.1)	-	CF from Oper. activities	2,122.6	5,779.2	(1,113.7)	5,039.4
PBT (Post Extra Ordinary)	2,455.3	(721.4)	1,493.2	5,975.7	CF from Inv. activities	(28,261.1)	(6,741.2)	(9,530.9)	(6,925.3)
Provision for tax	(909.4)	211.2	(358.8)	(1,504.1)	CF from Fin. activities	26,069.5	1,190.6	11,445.9	2,568.1
Reported PAT	1,545.9	(510.2)	1,134.4	4,471.6	Cash generated/(utilised)	(69.0)	228.7	801.3	682.1
MI	-	-	-	-	Cash at start of the year	509.5	440.5	669.2	1,470.5
Adjusted PAT	1,546.0	(510.2)	1,134.4	4,471.6	Cash at end of the year	440.5	669.2	1,470.5	2,152.7

Balance Sheet	FY20	FY21	FY22E	FY23E	Ratios	FY20	FY21	FY22E	FY23E
Equity capital	355.5	355.5	355.5	355.5	OPM	17.7	14.3	19.2	21.8
Reserves	24,634.4	24,803.1	25,404.3	29,307.2	NPM	4.6	(2.4)	3.2	8.2
Net worth	24,989.9	25,158.6	25,759.8	29,662.7	Tax rate	(37.0)	(32.1)	(22.1)	(25.2)
Non Current Liabilities	24,696.9	25,174.8	37,280.1	40,443.4	Growth Ratios (%)				
Current Liabilities	4,264.1	6,737.3	5,027.7	7,132.2	Net Sales	25.5	(35.6)	66.6	56.1
CAPITAL EMPLOYED	53,950.9	57,070.7	68,067.6	77,238.2	Operating Profit	138.1	(48.0)	124.1	76.7
Non Current Assets	36,768.4	41,817.4	49,683.2	53,418.2	PBIT	74.7	(82.9)	525.8	127.9
Fixed Assets	26,413.9	29,572.8	36,290.0	40,020.8	PAT	21.0	(133.0)	(322.3)	294.2
Non Current Investments	9,268.5	11,146.1	12,231.6	12,231.6	Per Share (Rs.)				
Deferred Tax Asset	1,069.5	1,080.1	1,144.8	1,144.8	Net Earnings (EPS)	4.3	(1.4)	3.2	12.6
Long Term Loans and Advances	16.4	18.4	16.8	21.0	Cash Earnings (CPS)	10.9	5.2	11.7	22.4
Current Assets	17,182.5	15,253.4	18,384.4	23,820.1	Dividend	1.0	1.0	1.6	1.6
Current investments	6,799.7	6,145.7	4,867.0	4,567.0	Book Value	70.3	70.8	72.5	83.4
Inventories	5,865.2	3,945.7	6,940.0	10,847.1	Free Cash Flow	(73.5)	(2.7)	(29.9)	(5.3)
Trade Receivables	133.3	205.7	344.6	538.6	Valuation Ratios				
Cash and Bank Balances	440.5	669.2	1,470.5	2,152.7	P/E(x)	236.1	(715.5)	321.8	81.6
Short Term Loans and Advances	856.6	749.2	259.2	311.1	P/B(x)	14.6	14.5	14.2	12.3
Other Current Assets	3,087.2	3,537.8	4,503.1	5,403.7	EV/EBIDTA(x)	65.3	124.5	56.2	31.8
CAPITAL DEPLOYED	53,950.9	57,070.7	68,067.6	77,238.2	Div. Yield(%)	0.1	0.1	0.2	0.2
					FCF Yield(%)	(7.2)	(0.3)	(2.9)	(0.5)
					Return Ratios (%)				
					ROE	6.2	(2.0)	4.4	15.1
					ROCE	11.9	2.3	11.6	23.4

Source: Dalal & Broacha Research, Company

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